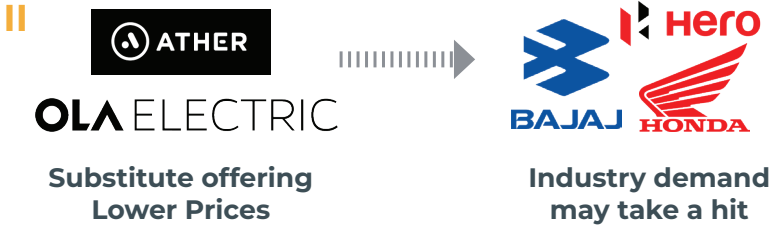


While analyzing industry demand,

- I Constantly evaluate the impact of substitutes and industrial disruption forces affecting the industry.



Firms in Industry should keep a track of substitute's value proposition and demand.

- IV This helps them decide how to adapt and whether to participate in the substitute industry.



- V This will favorably influence the demand scenario for the firm. Also, new products, new business models, and new value chains affect the industry generally in an irreversible manner.

- VI These changes can take away the demand from traditional businesses and more than towards newer ones within the same industry.